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To: Louisiana Public Service Commission

Fax Number 225-342-0877

From: Brian R Zelenak

[redacted]

February 3, 2025

Records Division
Louisiana Public Service Commission
602 North 5th St
12th Floor
Baton Rouge, LA 70802

RE: Intervention in Docket U-37483

Dear Administrative Law Judge:

My name is Brian R Zelenak. I am a former consultant to Beauregard Electric Cooperative (BECi) and the former General Manager of the Cooperative. I was the General Manager that requested the independent investigation into Board misconduct. I was falsely terminated for claims of violating BECI Policies, of which I categorically deny, and for retaliation for exposing multiple wrongdoings, theft and IRS violations. I am currently challenging that termination in Federal Court. The Louisiana Public Service Commission has received copies of that lawsuit.

As the former General Manager, I can tell you firsthand that there are many, many opportunities for cost savings at BECI. BECI has some great, dedicated employees but has been plagued by incompetent management and a small group of controlling board members. These board members have refused to implement basic cost cutting measures and technological improvements that could help lower BECI's electric rates and increase BECI's reliability.

For instance, BECI spent millions and millions of dollars on smart meters to gather detailed energy usage and sold the commission on that investment, but has never pursued the use of the data to better design time-of-day rates for members or understand what actions BECI can do to lower its power supply costs from 1803. Additionally, while at BECI, the BECi board overturned a management decision to stop front loading Health Savings Account (HSA)cards – wasting $25,000 annually. BECI would provide each employee and board member receiving health insurance preloaded HSA cards worth $3700 in January only to have employees retire or leave the company shortly thereafter. On average, they were giving away $25,000 per year to employees who would put in notice shortly after receiving their full annual BECi contribution towards their high deductible plan. They also did this with fire-retardant clothes, giving approximately 75 employees over $1000 annually with no stipulation to return the clothes if they left the cooperative the next week.

These are just minor examples of wasteful spending approved by incompetent management.

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As outlined in my lawsuit, BECi wasted members' dollars by distributing non-taxed cash benefits to employees in violation of IRS laws. BECI also has approximately 90 vehicles and pays for gas and wear-and-tear on many of them for employees to commute to and from work, again, causing electric rates to be higher than needed. And, as stated in the investigative report, having a woodshop on-site for employees to make furniture for board members, and having board members receiving electricity for outdoor lighting without paying for that electricity is theft from BECi's members – again leading to higher than necessary rates.

There are other examples of theft by board members I will gladly share including board members who refused to pay deposits for their accounts even though other members were required to and board members receiving preferential treatment by not paying disconnect fees or not having their service disconnected for non-payment. All of these actions steal from BECi members.

BECi also does not follow cost causation principles which leads to significant subsidization of new members by existing members. For instance, based on the average cost for new overhead or underground service for each new member joining BECI, existing members subsidize that member for between 12 and 18 years before BECi breaks even. While this not only should be a significant concern for every new member, it is even worse when the two board members that continually fight vehemently against any modification are builders who benefit financially from the current practice of subsidization for new builders.

Lastly, BECI has thousands of work orders open. That means they have started work on a project and performed some services, but never finished the project, never closed it out or have no one to bill the project too. This practice of doing work and never charging members for it leads to higher rates to BECi members and may be enriching individual board members.

Because of these and other actions and past management decisions, the cost to serve BECI members is higher than it should be and thus BECI's rates should be lowered, not raised. As the former General Manager, I am uniquely qualified to identify and expose these inappropriate past practices that have led to the highest electrical rates in the state of Louisiana along with the worst reliability.

Thus, as a former employee, the former General Manager and whistleblower, I am requesting intervention on behalf of the members Beauregard Electric Cooperative.

Respectfully submitted,



Brian R. Zelenak
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